

Chapter 13

Intermediate Accounting II

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McDonald's Corporation: Liquidity, Operating Liabilities, and Contingencies

This report analyzes McDonald's Corporation's liquidity, operating liabilities, and contingencies using the company's most recent annual financial statements. The analysis focuses on McDonald's current assets and current liabilities, working capital, current ratio, and quick ratio. It also examines major operating liabilities and significant contingencies disclosed in the company's annual report. The purpose is to evaluate McDonald's short-term financial position and identify potential risks and liabilities.

Liquidity Analysis

McDonald's liquidity can be evaluated by examining its current assets and liabilities for the fiscal years 2025 and 2024. The following amounts are reported in McDonald's 2025 Form 10-K and are stated in millions of dollars.

Simplified Balance Sheet	2025	2024
Current Assets		
Cash and equivalents	\$774	\$1,085
Accounts and notes receivable	\$2,466	\$2,383
Inventories	\$61	\$56
Prepaid expenses and other current assets	\$863	\$1,074
Total Current Assets	\$4,163	\$4,599
Current Liabilities		
Accounts payable	\$1,149	\$1,029
Lease liability	\$694	\$636
Income taxes	\$250	\$361
Other taxes	\$247	\$224
Accrued interest	\$533	\$482
Accrued payroll and other liabilities	\$1,488	\$1,129
Total Current Liabilities	\$4,361	\$3,861

Source: McDonald's Corporation, 2025 Form 10-K, Consolidated Balance Sheet

Working Capital, Current Ratio, and Quick Ratio

Working Capital = Current Assets - Current Liabilities

2025: $\$4163 - \$4361 = -\$198$ million

2024: $\$4599 - \$3861 = \$738$ million

Current Ratio = Current Assets / Current Liabilities

2025: $\$4163 / \$4361 = 0.95$

2024: $\$4599 / \$3861 = 1.19$

Quick Ratio = (Cash + Marketable Securities + Accounts Receivable) / Current Liabilities

2025: $(\$774 + \$2466) / \$4361 = 0.74$

2024: $(\$1085 + \$2383) / \$3861 = 0.90$

Note: McDonald's didn't report a separate marketable securities balance. Therefore, the quick ratio was calculated using cash and equivalents plus accounts and notes receivable.

Interpretation of Liquidity Results

Has liquidity improved or worsened over time?

McDonald's liquidity worsened from 2024 to 2025. Working capital decreased from \$738 million to negative \$198 million, while the current ratio declined from 1.19 to 0.95 and the quick ratio declined from 0.90 to 0.74. Overall, McDonald's had fewer liquid resources available relative to its short-term obligations in 2025.

How do these ratios compare to typical benchmarks?

A current ratio above 1.0 indicates that current assets exceed current liabilities. McDonald's current ratio was 1.19 in 2024, but fell below 1.0 to 0.95 in 2025. Additionally, its quick ratio was below 1.0 in both years, decreasing from 0.90 to 0.74, which indicates that McDonald's didn't have enough high liquid assets to cover all of its current liabilities.

What might explain the changes?

The decline in liquidity was caused by both a decrease in current assets and an increase in current liabilities. Total current assets fell from \$4599 million to \$4163 million, while total current liabilities increased from \$3861 million to \$4361 million. Cash and equivalents also decreased from \$1085 million to \$774 million, while accounts payable, accrued payroll, and other liabilities increased. These changes reduced McDonald's short-term liquidity.

Operating Liabilities and Contingencies

Current Liabilities

Accounts payable	\$1,149	\$1,029
Lease liability	\$694	\$636
Income taxes	\$250	\$361
Other taxes	\$247	\$224
Accrued interest	\$533	\$482
Accrued payroll and other liabilities	\$1,488	\$1,129
Total Current Liabilities	\$4,361	\$3,861

Accounts payable is the money McDonald's owes suppliers for goods and services that have already been received but have not been paid for yet. This is when the company makes a purchase on credit. Accounts payable increased from \$1.029 billion in 2024 to \$1.149 billion in 2025, an increase of around \$120 million or 11.7%. Although this means McDonald's owed more at the end of 2025, it does not automatically mean the company was struggling to pay these accounts off. No specific accounts payable risk was identified in the reviewed documents. Compared with McDonald's total assets of \$59.515 billion, accounts payable only represents about 1.9%. This is a small portion of the company's size, but it is still an obligation McDonald's needs to manage and pay on time. Accounts payable represents 26% of current liabilities, making it material relative to the company's total operational liabilities

Lease Liability is the present value of the Company's estimated future lease payments over a lease term. The lease liabilities come up because McDonald's leases the land and building used in its operations instead of owning them. The amount represented is the discounted value of all future lease payments McDonald's is committed to make. Current lease liability payments increased from 636 million to 694 million from 2024 to 2025, an increase of 9%. McDonald's mentions risks relating to lease liability, including rising occupancy costs, market exit/restructuring risks, and lease liability rates can fluctuate with foreign currency. Lease liability only makes up 16% of McDonald's total current liabilities, making it not material in comparison to the company size.

Income taxes are the money McDonald's owes tax authorities on its taxable income but has not paid off yet. This happens when the company records income taxes before making the matching payments. Current income taxes decreased from \$361 million in 2024 to \$250 million in 2025, a decrease of \$111 million or about 30.7%. McDonald's owed less in current income taxes at the end of 2025, but it does not automatically mean its tax expense decreased. The company faces risks from tax audits which can lead to additional payments later on. Compared to McDonald's total assets of \$59.515 billion, current income taxes represent only 0.4%. This is a small portion of the company's size, but this amount alone cannot determine if a tax issue could be present.

Other Taxes represent any non-income tax liabilities that McDonald's must remit within the next year. These can include sales taxes, property taxes, employer payroll taxes, etc. McDonald's must recognize the expense as they incur, which creates the short term liability. Other income increased from 224 million to 247 million, a 10% increase. There are no notable significant risks related to other taxes. Compared to McDonald's overall company size, other taxes only make up about 0.4% of its total assets. The amount is not material compared to the company size.

Accrued Interest is the interest McDonald's owes on borrowed money but has not paid yet. This happens as interest continues to build between payment dates. Accrued interest increased from \$482 million in 2024 to \$533 million in 2025, which is an increase of \$51 million or around 10.6%. This means McDonald's owed more unpaid interest at the end of the 2025, but it is not a telltale sign that the company was behind on its payments. There is no specific risk related to the accrued interest balance, but the company will need to continue to manage these payments along with the other operating liabilities. Compared to McDonald's total assets of \$59.515 billion, accrued interest represents about 0.9%. This is a small amount in comparison to the company's size, but it does not paint the full picture of the risk associated with its current debt.

Accrued Payroll and Other Liabilities represents the short-term obligations McDonald's owes to employees and other parties that were incurred but not paid. This includes any wages that were earned but not paid, overtime/bonuses that have not been given out, or any professional fees that come up. McDonald's must record expenses when incurred, so the company recognizes work performed/services received but not paid for. During 2024, the amount recorded was 1,129 million. In 2025, the number was 1,488 million, an increase of 32%. McDonald's mentions it faces ongoing employment-related litigation. Accrued Payroll and other liabilities represent 34% of total current liabilities, a material amount with respect to the entirety of McDonald's.

Contingencies

McDonald's discloses potential obligations involving legal claims, loan guarantees, and uncertain tax positions. These all depend on future outcomes such as court decisions, borrowers making payments, or tax audits being resolved.

Lawsuits and Legal Claims

According to page 36, McDonald's faces claims involving franchisees, employees, customers, suppliers, and other parties. These can arise from disagreements over contracts, wages, discrimination, products, or business practices. In both 2024 and 2025, management stated that there was no expectation that the matters under review would materially harm the company's financial condition or results. Individual cases may have changed, but the overall assessment remained intact. Neither year's general contingency note gives a specific note for litigation reserve, so the size relative to the company cannot be calculated. Although there were no specific cases or amounts disclosed, it does not entail that there is no risk.

Other Contingencies

McDonald's also discloses loan guarantees and uncertain tax positions. Loan guarantees mean the company may have to cover certain borrowers' loans if they fail to pay. These guarantees decreased from \$111 million in 2024 to \$85 million in 2025, with no guarantee obligation recorded in either year. Uncertain tax positions arise when tax authorities could disagree with how McDonald's reports its taxes. Gross unrecognized tax benefits decreased from \$461 million to \$414 million, although ongoing audits could change the amount. The 2025 guarantee and tax amounts represent 0.14% and 0.7% of total assets, respectively. These are small amounts relative to the company's size; they still represent uncertainty and could require future payments.

AI Use Summary

We provided ChatGPT with the relevant information from McDonald's 10-K. We then asked AI to brainstorm and organize the balance sheet information into a clear table showing current assets, current liabilities, and the liquidity ratios. After that, we checked the table and calculations against the original 10-K information to make sure they were accurate. It was also used to help interpret changes in McDonald's liquidity from 2024 to 2025, explaining how the ratios compared with common liquidity benchmarks. It helped explain accounting concepts, organize the report, and check calculations.

Some prompts used included: "Can you explain how the ratios compare to typical benchmarks?" and "What might explain the changes in McDonald's liquidity?". The information was verified using McDonald's Corporation's 2025 Form 10-K filed with the Securities and Exchange Commission (SEC). The information in the simplified balance sheet was compared directly with McDonald's Consolidated Balance Sheet. The working capital, current ratio, and quick ratio calculations were recalculated using the amounts from the Form 10-K. Any conclusions suggested by ChatGPT were compared with the financial statements data before being included in the report.

We used some prompts to help us go deeper into the key operating liabilities. The information came from the McDonald's 10-K, and the AI would narrow down key information from the document that would apply to what we were looking for to answer different questions. Any percentage changes over the years were quickly calculated using a formula used by the AI.